Expenses on device production

No. s/n	Name	Quantity	Price, KZT	Total amount, KZT
1.	Speakers for audio playback (Arduino-based)	2	500	1 000
2.	Mini cameras for scanning surroundings (with motion and vibration sensors)	2	24 980	49 960
3.	Additional accessories such as chargers with USB cables	1	698	698
4.	Processor module for information processing (based on ARM architecture)	1	20 000	20 000
5.	IBattery and power supply system (LiPo battery)	1	6 000	6 000
6.	Frames, lenses, glasses (3D printing) and other components	-	13 644	13 644
Total				**104 604**

Initial Costs for first year

No. s/n	Name	Quantity	Price, KZT	Total amount, KZT
1.	Intellectual property (at the national level) + maintaing patent	-	360 000	360 000
2.	Licensing and Permits	-	314 560	314 560
Total (CAPEX)				**674 560**
3.	Storage space (rental of warehouse space, 20–25 m²)	1	40 000 (monthly)	480 000
4.	Employee Wage Fund	2 employees	900 000 (monthly)	10 800 000
5.	Marketing campaign (advertising the product on social media, portals, SEO)	-	150 000(monthly)	1 800 000
6.	Administrative expenses (G&A) - expenses for utilities, legal and accounting services, amortization	-	500 000	506 000
Total (OPEX)				**13 586 000**

Incomes per year

Name	Year 1	Year 2	Year 3	Year 4	Year 5
B2C					
Quantity, units	45	60	75	95	120
TOTAL INCOME (KZT)	**13 499 550**	**17 999 400**	**22 499 250**	**28 499 050**	**35 998 800**
B2B					
Quantity, units	3	3	6	10	14
Income B2B, KZT	899 970	899 970	1 799 940	2 999 900	4 199 860
B2G					
Quantity, units	2	2	4	6	10
Income B2G, KZT	599 980	599 980	1 199 960	1 799 940	2 999 900
INCOME B2B AND B2G (KZT)	**1 499 950**	**1 499 950**	**2 999 900**	**4 799 840**	**7 198 500**

Profit forecast table

Indicator	Calendar year				
	In the first year	**Next year**	**3rd year**	**4th year**	**5th year**
Income					
B2C	13 499 550	17 999 400	22 499 250	28 499 050	35 998 800
B2B	899 970	899 970	1 799 940	2 999 900	4 199 860
B2G	599 980	599 980	1 199 960	1 799 940	2 999 900
Total income	14 999 500	19 499 350	25 499 150	33 298 890	43 198 560
Consumption					
Cost price of production	5 230 200	6 799 260	8 891 340	11 611 044	15 062 976
Operating expenses (salaries, marketing, maintenance, etc.)	13 586 000	14 672 880	15 846 710	17 114 447	18 483 603
Total consumption	18 816 200	21 472 140	24 738 050	28 725 491	33 546 579
PROFIT	**-3 816 700**	**-1 972 790**	**761 100**	**4 573 399**	**9 651 981**

NPV (net present value)

Year	Incomes	Costs	Profit	**Current value of profit**
1	14 999 500	18 816 200	-3 816 700	–3 262 137
2	19 499 350	21 472 140	- 1972790	-1 441 149
3	25 499 150	24 738 050	761 100	475 208
4	33 298 890	28 725 491	4 573 399	2 440 645
5	43 198 560	33 546 579	9 651 981	4 402 449

NPV= Sum of current value of profit = 2 615 016 (5'th year)

Based on **the net present value (NPV) and a key rate of **17%** as **the discount rate***

The project reaches the breakeven point (in annual terms) in the 3rd year, and the accumulated discounted income becomes positive by the end of the 5th year.

For the first year:

Gross Profit Margin = Price - Cost = 299 990 - 104 604**=** **195 386 тг/га**

Net profit margin = –3 816 700/ 14 999 500 = **-25.4%** (due to high initial costs and small scale)

Break-even point = fixed costs per year / margin= 13 586 000/ 195 386 **~ 180 units**

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to see thorough financial analysis of the profit model of our project with full explanation of income sources

For 5th year:

Net margin will **become positive in Year 3 (~1.8%)** and will steadily **increase due to economies of scale.**

For example: net margin in Year 5 will be ~22% (30.2 / 135 million).

The initial investment will be recouped in **5 years.**

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KORU'S FINANCIAL ANALYSIS